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Simple Interest

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Simple Interest

- **Principal:**

  The money borrowed or lent out for a certain period is called the principal or the sum.

- **Interest:**

  Extra money paid for using other's money is called interest.

- **Simple Interest (S.I.):**

  If the interest on a sum borrowed for certain period is reckoned uniformly, then it is called simple interest.

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Simple Interest

Let S.I = Simple Interest, Principal = P, Rate = R% per annum (p.a.) and Time = T years. Then

$$S.I = \frac{P \times T \times R}{100}$$

In order the calculate the total amount, the following formula is used:

Amount (A) = Principal (P) + Interest (I)

Where, **Amount** (A) is the total money paid back at the end of the time period for which it was borrowed.

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Question 1

What sum of money will produce Rs. 70 as simple interest in 4 years at 3 1/2 percent?

A) 300

B) 400

C) 500

D) 600

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Question 2

A sum of money will double itself in 4 years at simple interest with a yearly rate of _____ %.

A) 20

B) 25

C) 30

D) 35

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Question 3

Steve invested $ 10,000 in a savings bank account that earned 2% simple interest. Find the interest earned if the amount was kept in the bank for 4 years.

A) $ 700

B) $ 800

C) $ 900

D) $ 1000

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Question 4

Ryan bought $ 15,000 from a bank to buy a car at 10% simple Interest. If he paid $ 9,000 as interest while clearing the loan, find the time for which the loan was given.

A) 4 Years

B) 5 Years

C) 6 Years

D) 7 Years

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Question 5

A sum of money at simple interest amounts to Rs. 815 in 3 years and to Rs. 854 in 4 years. The sum is _____.

A) Rs. 690

B) Rs. 692

C) Rs. 698

D) Rs. 700

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Question 6

A sum fetched a total simple interest of Rs. 929.20 at the rate of 8% per annum in 5 years. What is the sum?

A) Rs. 2323

B) Rs. 1223

C) Rs. 2563

D) Rs. 2223

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Question 7

How much time will it take for an amount of Rs. 900 to yield Rs. 81 as interest at 4.5% per annum of simple interest?

A) 1 Years

B) 2 Years

C) 3 Years

D) 4 Years

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Question 8

A man took loan from a bank at the rate of 8% p.a. simple interest. After 4 years he had to pay Rs. 6200 interest only for the period. The principal amount borrowed by him was _____.

A) Rs. 10000

B) Rs. 20000

C) Rs. 18000

D) Rs. 19375

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Question 9

A sum of Rs. 14,000 amounts to Rs. 22,400 in 12 years at the rate of simple interest. What is the rate of interest (in %)?

A) 5

B) 6

C) 7

D) 8

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Question 10

A sum of money in 3 years becomes 1780 and in 7 years it becomes Rs. 2020. What is the principal sum where simple rate of interest is to be charged?

A) 4000

B) 1600

C) 1200

D) 1840

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Question 11

If Re.1 produces Rs.8 as interest in 40 years at simple interest, the rate of interest per annum is _____.

A) 16

B) 20

C) 22.5

D) 30

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Question 12

How much time will it take for an amount of Rs.250 to yield Rs.100 as interest at the rate of 2.5% p.a. simple interest?

A) 8.5

B) 12

C) 16

D) None of these

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Question 13

What annual payment will discharge a debt of Rs. 1216 due in 3 years at 2% per annum?

A) Rs. 400

B) Rs. 375

C) Rs. 430

D) Rs. 425

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Question 14

A man took a loan from a bank at the rate of 16% p.a. simple interest. After 4 years, he had to pay Rs. 6400 as interest for the period. What was the principal amount borrowed by him?

A) Rs.8,200

B) Rs.10,000

C) Rs. 12,500

D) None of these

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Question 15

A gave a loan of Rs. 250 to B and recovered it at the rate of Rs. 50 per month for 6 months commencing from the end of the first month. What is the effective rate of simple interest?

A) 33.33%

B) 48%

C) 40%

D) 60%

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Question 16

Vikram invested a certain sum of money at 8% p.a. simple interest for ‘n’ years. At the end of ‘n’ years, Vikram got back 5 times his original investment. What is the value of n?

A) 50

B) 52.5

C) 58

D) None of these

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Question 17

The simple interest on a sum of money is one-fifth of the principal, and the number of years is five times the rate of interest. Find the rate of interest (in %).

A) 4

B) 2

C) 3

D) 1

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Question 18

Vineeth borrowed Rs. 1200 at 15% rate of interest. He repaid Rs. 560 at the end of the first year. What is the amount paid by him at the end of the second year to discharge his loan which was calculated at simple interest?

A) Rs. 1150

B) Rs. 1258

C) Rs. 1342

D) Rs. 1347

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Question 19

Some amount was lent at simple interest of 10% per annum. After 1 year, Rs. 6000 is repaid and the rest of the amount is repaid at 5% per annum at the end of second year. If the second year's interest is ¼ of the first year's interest, find the amount that was lent out.

A) Rs. 1000

B) Rs. 10000

C) Rs. 15000

D) Rs. 25000

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Question 20

A father left a will of Rs. 44 lakhs between his two sons aged 8.5 and 16 such that they may get equal amounts when each of them reach the age of 21 years. The original amount of Rs. 44 lakhs has been instructed to be invested at 10% p.a. simple interest. How much did the elder son get at the time of the will?

A) Rs 29 lakhs

B) Rs 37 lakhs

C) Rs 42 lakhs

D) None of these

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THANK YOU

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